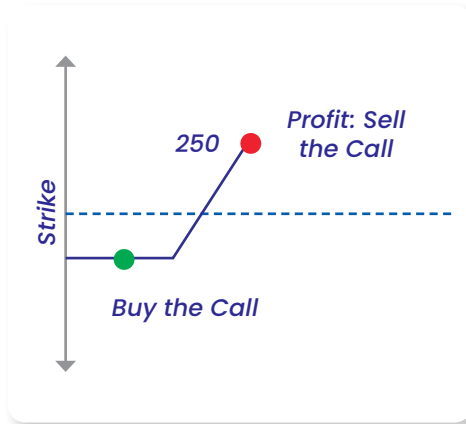




If the call price is lower than 250, you can profit by buying the call and then selling it when it corrects itself to 250.

However, small gaps may not be profitable due to transaction costs and slippages. For meaningful profits, you must look for significant gaps.

Also, if you are holding the Nifty future or the Nifty put, you must sell at once since they are trading at a premium. They will fall as soon as the market corrects.

3.4 Options Trading Strategies

You might be bullish about the market. But often, even if your view is correct, the market may move upwards only within a range. It is rare for the market to ignore all price ceilings and move upwards.



Image Source: https://acrobat.adobe.com/home/efaidnbmnmbpcajpcgiclfindmkaj/https://zerodha-common.s3.ap-south-1.amazonaws.com/Varsity/Modules/Module%20_Technical%20Analysis.pdf

Typically, when the outlook is positive, the market will move upwards, plateau, and start moving upwards again. We rarely see the market move upwards continuously. To ensure profits, you can use a combination of options. It is a better strategy than relying on a single option.